3.4 The Magic of Money Creation

3.4.1 The Time Value of Money and Its Role in Economic Growth

Have you ever wondered why banks offer so many services to their customers? While it may seem like they are being generous, it's important to remember that banks are businesses, and their primary goal is to make a profit. But how do they make a profit if they are giving away money in loans?

In addition to earning interest on deposits, banks generate revenue in other ways, including:

1. Charging interest on loans they give out
2. Charging fees for services like ATM usage and account maintenance
3. Earning money through investments, like buying and selling securities or investing in real estate
4. Keeping a percentage of loans in reserve and investing or lending out the rest
5. Paying interest on deposits and charging fees on checking and savings accounts

By borrowing money at low interest rates and lending it out at higher rates, banks are able to turn a profit. They also generate income through fees and investment activities.

But why should this matter to you as an individual? Well, have you heard the phrase "a dollar today is worth more than a dollar tomorrow"? This concept is known as the **time value of money**, and it's all about the idea that money is worth more in the present than in the future. This is because ***money can be invested to earn interest and because money can lose value over time due to inflation***.

In other words, if you have money sitting in a savings account earning a low interest rate, it's not going to be worth as much in the future as it is today. On the other hand, if you invest your money in something that has the possibility of earning a higher return, you might come out ahead.

To ensure that your money retains its value over time, the goal of investing is to earn a return that is higher than the rate of inflation. This way, your money will be worth more in the future than it is today.